INTRO



1. The above photo is of what? (pick the best answer)

a) The Korean peninsula at night
b) A visual representation of micromort exposure
c) A heat map of penalty kick locations
d) Location of the markets in Azraq and Zatari
e) None of the above

2. What was the opportunity cost of the time you **DID** spend studying for this exam?

a) Your grade in the class
b) The value of what you could have done with the study time instead
c) The benefits of time spent with study buddies
d) The value of economics knowledge gained
e) Jokes on you, Prof. Hill, I didn't study a single second for this exam

3. Alex has a free Saturday afternoon and chooses to watch a TV show and order food. What are some costs/benefits he should consider? (SELECT ALL THAT APPLY)

A. The cost of the streaming subscription that he's already subscribed to
B. The social value of knowing about a show
C. The next best activity he could do
D. The cost of the food
E. None of the above

4. What is NOT an example of unintended consequences?

A. A bounty of snakes leading to people raising snakes
B. A 3 point percentage bonus leading to a player not shooting threes
C. A price control designed to make food cheaper making food scarce
D. All of the above are examples of unintended consequences

5. Which of the following is true about long run economic growth? (MARK ALL THAT APPLY)

a) Living standards were roughly similar in 500 and 1500
b) Economic growth has increased in a linear fashion since 1800
c) Economic growth has increased exponentially since 1800
d) The number of people living in poverty has increased dramatically since 1950

6. The examples of the glass maker from Rome and the engineer from Kodak illustrate what idea

a) Innovators are often rewarded for their new inventions
b) Markets decrease consumer surplus
c) The elasticity of demand for new products is less than one in absolute terms
d) It is hard to predict where innovation will occur

7. Maria must choose how to spend her Saturday. Each option has a the following values to her:

1. Volunteering: She values the experience at $150 (personal fulfillment).
2. Part-Time Job: Earns $100 (monetary gain).
3. Friend's Party: Values the event at $120 (social connection).

She chooses volunteering. What is her opportunity cost of her decision?

A) $ 150
B)$ 100
C) $ 120
D) $ 220
E) none of the above

8. In the first lecture, college was discussed. According to that lecture, college is an example of (MARK ALL THAT APPLY)

a) signaling
b) elastic supply
c) deadweight loss
d) a bundle of goods
e) None of the above

9. A city government offers a subsidy to homeowners who install solar panels, paying $500 per panel installed. What might be an unintended consequence of this policy that could potentially undermine it (pick the best answer)?

A) A decrease in overall renewable energy production
B) A surge in installation of high-efficiency solar panels
C) Homeowners installing many low-quality panels to maximize subsidies
D) Increased public opposition to renewable energy

10. At the Olympics this summer, France wanted to have an environmentally friendly athlete village, so there was no central air conditioning. Countries then brought their own portable air conditioning units (which are worse for the environment than central ones). This is an example of (pick the best answer):

a. Opportunity Cost
b. Elasticity of Demand
c. Mimetic Desire
d. Unintended Consequences
e. The Maginot Line

11. Which of the following is the opportunity cost of majoring in business given that you are attending USC?

a) The value of the Marshall network
b) The amount of money you could have made had you not gone to college
c) The price of attending
d) The value of majoring in your next favorite major
e) Exactly one dollar

12. Bicycles were–

a) Celebrated when they were first invented
b) Caused a moral panic when they were first invented
c) Covered in the moonshine stimulus podcast
d) An example of perfectly inelastic supply

13. Last Saturday, superstar Swedish pole vaulter Mondo Duplantis broke his own world record by clearing 6.24 meters (20.47 feet). His previous record? 6.23m set last September, then 6.22m before that. Duplantis does this on purpose: he gets a check from Nike (which can reach up to $100k) when he breaks the world record, so he raises the bar by one centimeter each time to maximize his earnings. This is an example of (**MARK ALL THAT APPLY**)

a) Unintended consequences
b) Free rider problem
c) The Principal Agent problem where Nike is the principal and Mondo is the agent
d) The Principal Agent problem where Nike is the agent and Mondo is the principal
e) Externalities